Self-examination questions



I Multiple choice questions

Choose the correct answer

1. A prepayment of insurance premium will appear in
   (a) The trading account on the debit side
   (b) The profit and loss account on the credit side
   (c) The balance sheet on the assets side
   (d) The balance sheet on the liabilities side

2. Net profit is
   (a) Debited to capital account (b) Credited to capital account
   (c) Debited to drawings account (d) Credited to drawings account

3. Closing stock is valued at
   (a) Cost price (b) Market price
   (c) Cost price or market price whichever is higher
   (d) Cost price or net realisable value whichever is lower

4. Accrued interest on investment will be shown
   (a) On the credit side of profit and loss account (b) On the assets side of balance sheet
   (c) Both (a) and (b) (d) None of these

5. If there is no existing provision for doubtful debts, provision created for doubtful debts is
   (a) Debited to bad debts account (b) Debited to sundry debtors account
   (c) Credited to bad debts account (d) Debited to profit and loss account

Answer

1 (c)	2 (b)	3 (d)	4 (c)	5 (d)

II Very short answer questions

1. What are adjusting entries?
2. What is outstanding expense?
3. What is prepaid expense?
4. What are accrued incomes?
5. What is provision for discount on debtors?

III Short answer questions

1. What is the need for preparing final accounts?
2. What is meant by provision for doubtful debts? Why is it created?
3. Explain how closing stock is treated in final accounts.
4. Give the adjusting entries for interest on capital and interest on drawings.
5. Explain the accounting treatment of bad debts, provision for doubtful debts and provision for discount on debtors.

IV Exercises

1. Pass adjusting entries for the following:
   (a) The closing stock was valued at ₹ 5,000
   (b) Outstanding salaries ₹ 150
   (c) Insurance prepaid ₹ 450
   (d) ₹ 20,000 was received in advance for commission.
   (e) Accrued interest on investments is ₹ 1,000.

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